

HorizonPath 2045

Target-Date Retirement Growth Strategy

1. Product Overview

HorizonPath 2045 is a target-date retirement investment solution designed for investors planning to retire around the year 2045. The product is structured to provide long-term capital appreciation during the early and mid stages of an investor's career, followed by a gradual transition toward capital preservation and income generation as the retirement date approaches.

The strategy combines global diversification, lifecycle-based asset allocation, ESG integration, and systematic rebalancing to maintain an appropriate risk profile throughout the investment horizon.

2. Target Investor Profile

HorizonPath 2045 is suitable for:

- Investors currently in the accumulation phase of retirement saving
- Individuals with a medium to high tolerance for market volatility
- Investors seeking a “set-and-forget” retirement solution
- Participants in defined contribution or personal pension plans

The product assumes a long investment horizon and the ability to withstand interim drawdowns in pursuit of higher long-term returns.

3. Investment Philosophy

The investment philosophy is based on **lifecycle investing**, which aligns portfolio risk with the investor's expected retirement timeline.

Key principles include:

- Higher equity exposure during early years to maximize growth
 - Progressive risk reduction as retirement approaches
 - Broad diversification across asset classes and regions
 - Discipline through automated rebalancing
 - ESG considerations as a risk and sustainability factor
-

4. Asset Allocation Framework

The portfolio follows a dynamic glide path that evolves over time.

Early Phase (20+ years to retirement)

- Equity-heavy allocation to capture global growth
- Limited exposure to fixed income
- Higher tolerance for volatility

Mid Phase (10–20 years to retirement)

- Gradual reduction in equity concentration
- Increased allocation to stabilizing assets
- Focus on risk-adjusted returns

Pre-Retirement Phase (0–10 years to retirement)

- Emphasis on capital preservation
 - Increased fixed income and defensive assets
 - Lower portfolio volatility
-

5. Equity Investments

Equities are the primary growth driver of HorizonPath 2045.

Equity Characteristics

- Mix of passive and actively managed strategies
- ESG-screened equity funds and direct holdings
- Diversification across market capitalizations

Regional Allocation

- **North America:** Large- and mid-cap growth and core equities
- **Europe:** Developed market equities with dividend support
- **Asia-Pacific:** Exposure to Japan, South Korea, and Australia
- **Emerging Markets:** Select allocation to China, India, and Latin America

Sector Exposure

- Technology and innovation
 - Healthcare and life sciences
 - Consumer discretionary
 - Industrials and infrastructure
-

6. Fixed Income Investments

Fixed income provides stability and income, increasing in importance as the target date approaches.

Bond Types

- Investment-grade corporate bonds
- Sovereign bonds from developed markets
- Inflation-linked bonds
- Short- and intermediate-duration bond funds

Role of Fixed Income

- Reduce portfolio volatility
 - Provide income in later stages
 - Act as a hedge during equity market downturns
-

7. Alternative and Diversifying Assets

To enhance diversification, the portfolio may include:

- Real asset funds (infrastructure, real estate securities)
- Low-volatility absolute return strategies
- Commodity-linked instruments (limited and tactical)

These allocations are modest and used primarily to reduce correlation with traditional equities and bonds.

8. ESG Integration

Environmental, Social, and Governance (ESG) considerations are embedded throughout the investment process.

ESG implementation includes:

- Exclusion of controversial industries
- Preference for companies with strong governance practices
- Allocation to ESG-rated funds and indices
- Ongoing monitoring of ESG risk metrics

9. Risk Management and Rebalancing

Risk is managed through a combination of strategic design and ongoing oversight.

Key mechanisms include:

- Glide-path driven risk reduction
- Periodic portfolio rebalancing
- Diversification across asset classes and regions
- Monitoring of volatility and drawdown metrics

Rebalancing occurs systematically to prevent unintended risk drift.

10. Expected Performance Characteristics

While returns are not guaranteed, the product is designed to:

- Deliver higher growth potential over long horizons
- Reduce downside risk as retirement approaches
- Provide smoother return patterns compared to pure equity portfolios

Performance expectations evolve over time in line with the asset allocation glide path.

11. Role Within a Portfolio

HorizonPath 2045 is intended to function as a **core retirement holding**, often serving as the primary investment vehicle for long-term retirement savings.

It can be complemented by:

- Additional income strategies
 - Defensive fixed income products
 - Tactical or satellite growth allocations
-

12. Summary

HorizonPath 2045 offers a disciplined, long-term retirement solution that evolves alongside the investor's lifecycle. By combining growth-oriented investments, risk management, and ESG integration, the strategy aims to balance return potential with increasing capital protection over time.